

Defensive Interval

This ratio indicates the number of days a company can remain in business without any additional financing or sales. It can be likened to a worker on strike. How many days can he survive on the assets that he has before he becomes bankrupt?

The defensive interval ratio is calculated by dividing a company's average daily cash operating expenses by its most liquid assets. It is important to note that only the most liquid of assets are used in calculating this ratio, such as cash and cash equivalents. Debtors and stocks are not to be considered as they are not cash equivalents.

$$\text{Defensive ratio} = \frac{\text{Average daily cash operating expense}}{\text{Most liquid assets}}$$

Illustration

The cash and cash equivalents of General Balls Ltd. a company whose annual operating expenses were Rs. 730 crore were as follows:

	Rs. (crore)
Cash	35
Marketable securities	145
	Rs. 180

$$\text{Its daily operating expenses would be } \frac{730}{365} = \text{Rs. 2 crore}$$

$$\text{Its defensive interval would be } \frac{180}{2} = 90 \text{ days}$$

This means that General Balls Ltd. can remain in existence for 90 days without any sales or financing.